

MACHINERY BREAKDOWN — LOSS OF PROFIT CLAIM FORM

This form covers the consequential financial loss following a Machinery Breakdown event. It must be completed in addition to (and after) the Machinery Breakdown physical damage claim form. Cover under this policy is conditional on a valid claim under the underlying Machinery Breakdown section.

A forensic accountant or loss adjuster appointed by Alpha Direct will quantify the loss. Submit estimates here and supporting financial records on request. Do not delay submission while waiting for full year figures — provide best estimates and update as actuals are confirmed.

Linked Machinery Breakdown Claim

Machinery Breakdown Claim Number: _____

Date of Breakdown / Damage (start of indemnity period): _____

Status of MB Physical Damage Claim (notified / under assessment / settled): _____

Insured Contact & Business

Insured (Registered Name): _____

Contact Person: _____

Designation: _____

Phone / Cellphone: _____

Email: _____

Postal / Physical Address: _____

Site / Premises affected: _____

Nature of Business and main products / services: _____

Years in operation: _____

Operating Profile (Pre-Loss Baseline)

Production capacity (units / hour or units / day): _____

Operating hours per day: _____

Number of shifts (1 / 2 / 3): _____

Number of operating days per week: _____

Standard turnover for the prior 12 months (BWP): _____

Standard output for the prior 12 months (units): _____

Is the business seasonal?: ☐ Yes ☐ No Details: _____

Peak months / seasonal pattern (describe): _____

Comparable period turnover — same period prior year (BWP): _____

Comparable period output — same period prior year (units):

Attach: prior 3 years' audited financial statements, latest management accounts, monthly sales / production reports for prior 24 months.

Indemnity Period & Downtime

Damaged item description and item number per Policy Schedule:

Date of breakdown (T-zero — start of indemnity period):

Date production halted (if different from breakdown date):

Time excess (waiting period) start and end:

Date production partially resumed:

Date production fully resumed (or expected — give expected if not yet):

Total full-shutdown days: _____

Total reduced-capacity days: _____

Indemnity period max end-date (T-zero plus indemnity period):

Is the loss continuing as at the date of this form?: ☐ Yes ☐ No Details: _____

Description of how the breakdown affected production / turnover (which lines, what %):

Loss of Profit — Computation

Provide best estimates with supporting workings. Final figures will be agreed with Alpha Direct's appointed forensic accountant.

A. Reduction in Turnover / Output:

Standard turnover during indemnity period to date (BWP):

Actual turnover during indemnity period to date (BWP):

Reduction in turnover (BWP): _____

Rate of Gross Profit applied (%) — to be confirmed by FA:

Calculated Gross Profit lost (Reduction × Rate, BWP):

B. Increased Cost of Working (ICW):

Costs incurred specifically to mitigate the loss — must be reasonable and economically justified. Attach invoices.

Outsourcing / sub-contracting (BWP):

Hire of replacement / temporary equipment (BWP):

Express freight / expedited shipping (BWP):

Overtime and additional labour (BWP):

Temporary premises / utilities (BWP):

Other ICW (itemise) (BWP): _____

Total ICW (BWP): _____

C. Savings (variable costs not incurred during downtime):

Costs that would have been incurred to generate the lost turnover but were not — these reduce the claim.

Raw materials / consumables not used (BWP):

Power / utilities not consumed (BWP):

Wages saved (staff stood down) (BWP):

Other savings (itemise) (BWP): _____

Total savings (BWP): _____

D. Estimated Loss of Profit Claim:

Estimated Gross Loss of Profit (A + B – C) (BWP):

Less Time Excess (waiting period deduction) (BWP):

Less Self-Insured Retention (BWP):

Net estimated claim (BWP): _____

Mitigation Actions

The policy requires the Insured to take all reasonable steps to minimise the loss — including alternative production arrangements, expedited repairs and use of substitute capacity. Failure to mitigate may reduce the recoverable loss.

Mitigation steps taken (with dates):

Was alternative production capacity available within the group / region?: ☐ Yes ☐ No Details:

Details (location, capacity used, cost):

Was replacement / hire equipment sourced?: ☐ Yes ☐ No Details: _____

Supplier and rental terms: _____

Other Insurance & Loss History

Is there any other Business Interruption / LOP cover that may respond?: ☐ Yes ☐ No Details:

Other insurer / policy / period / sum insured:

Loss history — prior LOP / BI claims in past 24 months:

Documents to be Submitted

Tick each document attached. Outstanding items will be requested by the appointed forensic accountant.

- ☐ Audited financial statements — prior 3 financial years
- ☐ Management accounts — last 12 months and current period
- ☐ Monthly sales / turnover reports — prior 24 months
- ☐ Production / output logs — prior 24 months and during indemnity period
- ☐ Sales budget / forecast for the indemnity period
- ☐ Invoices supporting Increased Cost of Working
- ☐ Payroll records (incl. overtime claimed)
- ☐ Sub-contractor / outsourcing contracts
- ☐ Equipment hire invoices
- ☐ Repair quotation and progress reports for the underlying MB claim
- ☐ Schedule of saved variable costs

Declaration

I/We declare that the foregoing particulars are true and complete to the best of my/our knowledge. Estimates are reasonable and supported by the records of the Insured. No material information has been withheld.

I/We acknowledge that final quantum will be agreed with the forensic accountant or loss adjuster appointed by Alpha Direct, that financial records may be inspected and audited for that purpose, and that submission of this form is without prejudice and not an admission of cover or liability.

Name: _____

Capacity: _____

Date: _____

Signature & Stamp: _____